January 2024 Paper 02

Question 1

1(a) Stakeholders

(i) Define the term stakeholder as it relates to a business. (2 marks); (ii) Identify TWO stakeholders that are involved in a business. (2 marks); (iii) Outline ONE role of ONE of the stakeholders identified in (a)(ii) above. (2 marks)

(a)(i) Definition of stakeholder

A stakeholder is any person, group or organisation that has an interest in a business and is affected by the way the business operates. Stakeholders include people inside the business, such as the owners and workers, and people outside the business, such as customers, suppliers, lenders, the government and the wider community.

(a)(ii) TWO stakeholders involved in a business

- Employees, who provide their labour to the business in exchange for wages and other benefits.
- Customers, who buy the goods and services produced by the business.

(a)(iii) ONE role of ONE stakeholder

Employees carry out the day to day work of the business by producing the goods or providing the services that the business sells. They use their skills, time and effort to operate machinery, serve customers, keep records and complete the tasks set by the managers, which allows the business to meet its targets and earn revenue.

1(b) Functional areas of a business

Describe TWO functional areas of a business. (4 marks)

Production

The production department is responsible for actually making the goods or providing the services that the business sells. It plans the manufacturing process, manages the raw materials and machinery, organises the workers and makes sure that the finished goods meet the required quality standards before they leave the business.

Marketing

The marketing department is responsible for finding out what customers want and for promoting and selling the firm's products. It carries out market research, decides on the price, designs the packaging and advertising and chooses the channels of distribution so that the products reach the right customers in the right place and at the right time.

1(c) Ethical or legal principles

List FOUR ethical or legal principles that business owners should adopt when establishing and operating a business. (4 marks)

Four ethical or legal principles that business owners should adopt are:

- Honesty in advertising and in dealings with customers, suppliers and workers.
- Paying all taxes and statutory contributions due to the government on time.
- Treating workers fairly by paying agreed wages, providing safe working conditions and avoiding discrimination.
- Protecting the environment by disposing of waste properly and obeying pollution and health regulations.

1(d) Consequences of failing to comply with ethical principles

Explain the likely consequences of failing to comply with any TWO of the ethical principles listed in (c) above. (6 marks)

Failing to be honest with customers

If a business misleads customers with false claims or sells goods of poorer quality than advertised, customers will quickly lose trust in the business and stop buying from it. Bad publicity travels fast through social media and word of mouth, so the loss of reputation usually leads to a sharp drop in sales. The business may also be reported to consumer protection bodies and taken to court, where it can be fined or forced to refund customers.

Failing to pay taxes to the government

If a business does not pay its taxes on time, the tax authority can charge interest and heavy penalties on the unpaid amounts and, in serious cases, take the owners to court. The business can have its operating licence revoked or its bank accounts frozen, which would stop it from trading. The owners may also face criminal charges that damage both their personal reputation and the long-term standing of the business.

Question 2

2(a) Feasibility study and sources of information

(i) Define the term 'feasibility study'. (2 marks); (ii) State TWO reasons why it is important to conduct a feasibility study. (2 marks); (iii) Identify ONE primary source and TWO secondary sources of information used in conducting business research. (3 marks)

(a)(i) Definition of feasibility study

A feasibility study is an investigation carried out before a business is started or a new project is launched, to find out whether the idea is likely to succeed. It examines the demand for the product, the competition, the costs involved, the available resources and the expected profits, so that the owner can decide whether or not to go ahead with the idea.

(a)(ii) TWO reasons why a feasibility study is important

- It helps the owner to find out whether the business idea will actually work, so that money is not wasted on a project that is likely to fail.
- It provides clear information on expected sales, costs and profits that can be used to convince a bank or an investor to provide a loan or capital.

(a)(iii) ONE primary and TWO secondary sources

A primary source could be a survey carried out by the owner, where questionnaires are given to potential customers in the area to find out their needs, preferences and how much they are willing to pay.

Two secondary sources could be reports published by the Statistical Institute of the country, which give population and income data, and trade journals or industry magazines that contain information on similar businesses already operating in the market.

2(b) Reasons why planning is necessary

Outline TWO reasons why planning is necessary for the successful operation of a business. (4 marks)

To set clear goals and direction

Planning forces the owners and managers to decide exactly what they want the business to achieve over a given period of time and how it will be done. With clear goals, every worker knows what is expected of them, resources can be used in the right way, and progress can be measured against the targets set in the plan.

To prepare for problems and use resources wisely

A good plan looks ahead at possible problems such as a fall in demand, rising costs or shortages of supplies, and considers ways to deal with them before they arise. It also helps the business to use its money, workers and equipment in the most efficient way, which reduces waste and improves the chances of making a profit.

2(c) Measures or laws to protect consumers

State THREE measures or laws put in place by Caribbean governments for the protection of consumers. (3 marks)

Three measures or laws put in place by Caribbean governments to protect consumers are:

- The Sale of Goods Act, which requires goods sold to be of merchantable quality and fit for the purpose for which they were bought.
- The Consumer Protection Act, which sets up a Consumer Affairs Commission to investigate complaints from shoppers and to take action against unfair traders.
- The Standards Act, which gives the Bureau of Standards the power to test products and ensure that goods on sale meet approved health, safety and quality standards.

2(d) Jomo's barber shop location

Jomo is planning to open a barber shop. Explain TWO factors that Jomo should consider when deciding on the location of his business. (6 marks)

Closeness to customers and foot traffic

A barber shop depends on a steady flow of walk-in customers, so Jomo should choose a spot that is close to a busy shopping area, a school, a transport hub or a residential community where many men and boys live or pass by daily. A location with poor foot traffic, no matter how cheap the rent, would not give him enough customers to keep the business profitable.

Cost of rent and availability of utilities

Jomo must make sure that the rent will not eat up his profits, so he should compare the cost of renting different premises and balance it against the number of customers each location is likely to attract. He should also check that the location has a reliable supply of electricity and clean water, because clippers, lights and washbasins all depend on these utilities and the shop cannot operate without them.

Question 3

3(a) Functions of consumer organizations

List FOUR functions of consumer organizations. (4 marks)

Four functions of consumer organisations are:

- Educating consumers about their rights and responsibilities so that they can make wise buying decisions.
- Investigating complaints from members of the public against businesses that have sold them faulty goods or poor services.
- Lobbying the government to pass and enforce laws that protect the interests of consumers.
- Testing products and publishing the results in magazines or on websites so that consumers know which goods are safe and good value for money.

3(b) Roles of customer service

Corporate businesses are paying more attention to customer service. Outline TWO roles of customer service. (4 marks)

Building customer loyalty and repeat business

When customers are treated politely and their problems are solved quickly, they feel valued and are far more likely to keep buying from the same business. Loyal customers also tell their friends and family about the good service they received, which brings in new customers without the firm having to spend extra on advertising.

Giving the business a competitive advantage

In markets where many firms sell similar products at similar prices, the level of customer service can be the main reason a shopper chooses one business over another. A firm that answers questions quickly, handles returns fairly and follows up after the sale will stand out from its rivals and earn a stronger position in the market.

3(c) Forms of customer service

Describe EACH of the following forms of customer service: (i) Warranty (2 marks); (ii) Online chat (2 marks); (iii) After-sales service (2 marks)

Warranty

A warranty is a written promise given by the seller or manufacturer that the product will work properly for a stated period of time, and that any faults that appear during that period will be repaired or the item

replaced free of charge. This gives the customer confidence that the product is reliable and protects them from losing money if it breaks down.

Online chat

Online chat is a form of customer service in which the business uses a chat box on its website or mobile app to allow customers to type questions and receive immediate replies from a customer service agent or an automated chatbot. This makes it easy for customers to get help quickly without having to call by phone or visit the store.

After-sales service

After-sales service is the help and support that a business provides to customers once they have already bought the product. It includes activities such as delivery, installation, training, repairs, the supply of spare parts and follow-up calls to make sure that the customer is satisfied with the purchase.

3(d) Trademark and copyright

(i) Leon has created a unique line of natural skin care products which includes soaps and lotions. He is preparing to launch his product line at a small business expo. Explain to Leon the importance of obtaining a trademark for his new line of products. (3 marks); (ii) Vashti wrote a children's novel and is about to have it published. Explain to Vashti the importance of obtaining the copyright for her novel. (3 marks)

(d)(i) Importance of a trademark for Leon

A trademark would give Leon legal ownership of the name, logo and symbol used on his soaps and lotions, so that no other producer can copy them and pass off similar products as his. This protects the unique identity that he is building at the expo and stops competitors from cashing in on his hard work. The trademark also helps customers to recognise his products easily on the shelves and to trust that they are buying the genuine natural skin care line, which builds his reputation and increases sales.

(d)(ii) Importance of copyright for Vashti

Copyright would give Vashti the exclusive legal right to print, publish, sell and adapt her children's novel for a long period of time, usually her lifetime plus a number of years after her death. This means that no one else can copy her book, photocopy large sections of it or turn it into a film without her permission. Copyright also allows Vashti to earn royalties whenever the book is sold or used, which rewards her for the time and creativity she put into writing the novel.

Question 4

4(a) Activities in supply chain operations

List FOUR activities involved in supply chain operations. (4 marks)

Four activities involved in supply chain operations are:

- Sourcing and purchasing raw materials and components from suppliers.
- Manufacturing or producing the finished goods in the factory.
- Storing the finished goods in warehouses until they are needed.

- Transporting and distributing the goods to wholesalers, retailers and final customers.

4(b) Advantages and challenges of supply chain operations

(i) State TWO advantages of supply chain operations. (2 marks); (ii) State TWO challenges associated with supply chain operations. (2 marks)

(b)(i) TWO advantages

- A well-managed supply chain reduces costs because materials and goods move smoothly from suppliers to customers without unnecessary delays or waste.
- It improves customer satisfaction because the right products are available in the right place and at the right time, which leads to repeat sales.

(b)(ii) TWO challenges

- Disruptions such as natural disasters, port strikes or pandemics can delay shipments and leave the business without raw materials or finished goods to sell.
- Managing many different suppliers, transporters and warehouses across countries is complex and can lead to high coordination costs and quality control problems.

4(c) Technology and supply chain operations

Outline how THREE forms of technology have impacted supply chain operations. (6 marks)

Global positioning systems (GPS)

GPS technology allows firms to track their delivery vehicles and shipments in real time, so they always know where each load is and when it will arrive. This reduces lost or stolen goods, allows drivers to be sent on the shortest routes and helps the business to give customers accurate delivery times.

Electronic data interchange and inventory software

Computer systems and inventory software allow orders, invoices and stock information to be shared instantly between suppliers, factories, warehouses and retailers. This means stock levels can be checked at any moment, automatic reorders can be sent when items run low, and there is much less paperwork to slow the supply chain down.

Barcoding and scanning technology

Barcodes and electronic scanners speed up the receiving, storing and dispatching of goods at every stage of the chain. Each item can be identified, counted and tracked quickly, which reduces errors, makes stock taking easier and helps the firm to know exactly what is in the warehouse and on the shelves.

4(d) Tropical Grove Ltd outsourcing

The directors of Tropical Grove Ltd are extremely excited to introduce a new soft drink to the market. They are optimistic that they will have a competitive advantage over similar producers. Explain TWO benefits that Tropical Grove Ltd could gain by outsourcing some of its operations to gain a competitive advantage. (6 marks)

Lower production costs

By outsourcing activities such as bottling, packaging or transportation to specialist firms that already have

the equipment and skilled workers, Tropical Grove Ltd would not have to spend large sums on its own machinery and extra staff. The specialist firms can usually do the work more cheaply because they handle large volumes for many customers, and the savings can be passed on to consumers in the form of lower prices, giving Tropical Grove an edge over its competitors.

Ability to focus on core activities and innovation

When non-core tasks such as cleaning, security or basic accounting are handled by outside firms, the managers and workers of Tropical Grove Ltd can put all their attention on what they do best, which is developing and marketing new soft drink flavours. This allows the company to bring better products to the market more quickly than rival producers and to build a stronger brand image.

Question 5

5(a) Direct and indirect taxes

Identify TWO direct taxes and TWO indirect taxes charged by the government of a country. (4 marks)

(a) TWO direct taxes

- Personal income tax, which is paid by individuals on the wages, salaries and other income they earn.
- Corporation tax, which is paid by companies on the profits they make in a financial year.

(a) TWO indirect taxes

- Value Added Tax (VAT) or General Consumption Tax (GCT), which is added to the price of goods and services at the point of sale.
- Customs duty, which is charged on goods that are brought into the country from abroad.

5(b) Measures to protect the natural environment

Outline THREE measures that could be taken by regional governments to influence their citizens to protect the natural environment. (6 marks)

Passing and enforcing environmental laws

Regional governments can pass laws that ban activities such as illegal dumping, the burning of bush and the use of harmful chemicals near rivers and the sea. By enforcing these laws and fining people who break them, the government sends a clear message that destroying the environment will not be tolerated, which encourages citizens to act more responsibly.

Public education campaigns

Governments can run advertising campaigns on television, radio, social media and in schools to teach citizens about the importance of recycling, planting trees, saving water and protecting wildlife. When people understand how their actions affect the environment, they are more likely to make better choices in their daily lives.

Tax incentives and rebates for green behaviour

Governments can use the tax system to reward citizens and businesses that protect the environment, for example by reducing import duty on solar panels, electric vehicles and energy-saving appliances. This

makes environmentally friendly products cheaper and encourages more people to switch from harmful to greener alternatives.

5(c) Other responsibilities of Caribbean governments

State FOUR responsibilities of Caribbean governments to their citizens, other than the protection of the environment. (4 marks)

Four other responsibilities of Caribbean governments to their citizens are:

- Providing free or low-cost education from primary through to secondary level.
- Providing public health care services through hospitals, health centres and clinics.
- Maintaining law and order through the police, courts and prisons so that citizens can live in safety.
- Building and maintaining public infrastructure such as roads, bridges, water and electricity supply.

5(d) Healthcare challenges

Caribbean governments have experienced ongoing challenges in the provision of quality healthcare services within their countries. Identify TWO of these healthcare challenges and advise the government of your country on how EACH challenge could be resolved. (6 marks)

Shortage of doctors, nurses and other health workers

Many trained doctors and nurses leave the Caribbean to work in countries where wages are higher and conditions are better, which leaves local hospitals understaffed and patients waiting for long hours. The government could resolve this by offering better salaries, scholarships and study bonds that require students who are sponsored to work in the public health system for a number of years after they qualify, and by improving working conditions in hospitals so that staff want to stay.

Lack of modern equipment and medical supplies

Public hospitals often run short of basic supplies such as medication, gloves and needles, and may not have modern equipment for tests and surgeries, which forces some patients to seek care abroad. The government could resolve this by setting aside a larger share of the national budget for the Ministry of Health, by partnering with foreign agencies to upgrade equipment and by using bulk purchasing arrangements through CARICOM to get medicines at lower prices.